

INTERNAL FIRST-FORMAT PDF • REVIEW ONLY

Weekly Composite Regime and Sector Positioning

Prepared for Randall • Data package refreshed 2026-05-11 05:23Z • Request window 2026-05-10 MST

Trust label: review_required
Freshness: manual_dependency
Presentation allowed: False
Capital action allowed: False

Verdict: Selective risk-on under a restrictive-policy pause. Stay constructive, but do not chase. The useful posture is patient offense: quality review queue, strict entry discipline, and no implied portfolio mutation.

DEPLOYABLE NOW

1

Strict surface

ALMOST DEPLOYABLE

5

GOOG, GS, JPM, MSFT, NVDA

DO NOT TOUCH

3

BRK.B, LMT, XOM

WHAT MATTERS NOW

- Technology is the only improving leadership sector, but direct Technology exposure is already at the stated cap.
- Sector balance is thin: Communication Services, Consumer Discretionary, Staples, Health Care, Materials, Real Estate, and Utilities are underexposed.
- Pending promotion-review names are separated from approved promotion names: CAT, GS, LLY, NVDA pending; ETN, JPM already approved/promoted.
- No sector tilt, weight, sleeve, promotion, sizing, cash, or execution change is authorized by this document.

Validation item	Current state	Meaning
Dashboard integrity	0 critical / 0 warning / 0 info	Data package is usable for review.
Freshness / trust	manual_dependency / review_required	Manual review remains required.
Canonical mutation	False	No portfolio-note mutation from this PDF.
Market caveat	Mixed source dates; true pre-market unavailable	Use latest snapshots, not full live tape.

Composite macro read

FED TARGET
3.5%–3.75%
Next FOMC 2026-06-17

10Y TREASURY
4.39%
As of 2026-05-11

VIX
18.23
As of 2026-05-11

HY OAS
2.79
Credit regime: benign

BREADTH
8/11
Sectors above 50DMA; recovering

ENERGY
WTI 98.36
Brent 104.27; DXY 98.001

Signal	Read	Portfolio meaning
Policy / Fed	Target 3.50%–3.75%; next-meeting cut probability 0% from current futures approximation	Restrictive pause remains base case; do not assume policy tailwind.
Credit	IG OAS 0.79; HY OAS 2.79	Credit is not demanding broad defense yet.
Breadth	Broad/recovering; 8 sectors above 50DMA	Participation is better than panic tape, but leadership remains selective.
Energy / inflation	Brent 104.27; WTI 98.36	Inflation-cost risk still matters; avoid ignoring commodity pressure.

Deployment implication: review quality add candidates, but do not shift into broad automatic deployment. The constructive case depends on benign credit, durable breadth, and rates not re-accelerating.

Leadership and underexposure

IMPROVING LEADERSHIP

Materials, Technology

Do not chase cap-constrained tech.

UNDEREXPOSED SECTORS

7

Communication Services, Consumer Discretionary, Consumer Staples...

PENDING PROMOTION REVIEW

CAT, GS, LLY, NVDA

Approved/promoted: ETN, JPM.

Concentration warning: Direct Technology is at cap at 25% vs 25% cap; AI-power correlated sleeve is 32% including ETN.

Sector	Current read	Exposure / gap	Review action
Communication Services XLC	deteriorating Above 50DMA: True	0.0% unrepresented; candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Consumer Discretionary XLY	deteriorating Above 50DMA: True	0.0% unrepresented; candidates: BKNG	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Consumer Staples XLP	deteriorating Above 50DMA: True	0.0% unrepresented; candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Energy XLE	deteriorating Above 50DMA: False	10.0% within_limit; candidates: CVX, LNG, XOM	Maintain review-only monitoring; no canonical mutation or capital action.
Financials XLF	deteriorating Above 50DMA: True	21.0% near_cap; candidates: GS, JPM	Review concentration/correlation warning before any owner-gated promotion review; no sizing or deployment authority.
Health Care XLV	deteriorating Above 50DMA: False	0.0% unrepresented; candidates: LLY	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Industrials XLI	deteriorating Above 50DMA: True	7.0% within_limit; candidates: CAT, ETN, VRT	Existing exposure with queued candidates: keep promotion review owner-gated and check risk/sizing before any change.
Materials XLB	improving Above 50DMA: True	0.0% unrepresented; candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Real Estate XLRE	deteriorating Above 50DMA: True	0.0% unrepresented; candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Technology XLK	improving_leadership Above 50DMA: True	25.0% at_cap; candidates: AMD, AMZN, GOOG, MSFT, NVDA, PLTR, SMC	Review concentration/correlation warning before any owner-gated promotion review; no sizing or deployment authority.
Utilities XLU	deteriorating Above 50DMA: False	0.0% unrepresented; candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.

Sector tilts for review — not applied

Hard boundary: The following tilts are review framing only. They are not applied allocation state and do not authorize weights, sleeves, promotions, sizing, cash targets, or trades.

Sector	Proposed tilt	Rationale	Owner-gated blocker
Technology	Hold / avoid broad overweight expansion	Leadership improving, but direct exposure is already at cap and AI-power correlation is elevated.	Any added exposure needs explicit owner approval and name-specific entry/invalidation.
Industrials	Selective positive review	CAT / ETN keep the sector relevant despite weak broad sector tape.	Resolve ETN band-review debt and CAT promotion-review proof.
Financials	Neutral-to-selective review	JPM / GS remain high-signal, but sector exposure is near cap.	Additional exposure needs concentration and tactical sizing review.
Health Care	Research-positive / candidate review	Underexposed sector with LLY as a named promotion-review candidate.	LLY requires current thesis, valuation, technical, and catalyst review.
Consumer Discretionary	Research-only	Underexposed, but BKNG remains repair/watch.	Need repaired technical state and cleaner evidence.
Staples / Utilities	Defensive research queue	Useful if macro risk rises; no current leadership signal.	Candidate screen required before proposal.
Materials / Real Estate	Low-priority research watch	Underexposed but no leadership confirmation.	Rate/commodity sensitivity and weak leadership block promotion.
Energy	Hold / repair-only	Exposure exists; XOM is do-not-touch and energy tape is deteriorating.	Needs repair through technical levels and supportive energy context.

Practical read: The answer is not “buy more Technology.” The better queue is controlled review around Industrials, Financials, and Health Care, with Staples/Utilities as defensive research if macro risk rises.

DEPLOYABLE NOW

1

ETN

ALMOST DEPLOYABLE

5

GOOG, GS, JPM, MSFT, NVDA

WATCH / DO NOT TOUCH

4

Watch: VRT; DNT: BRK.B, LMT, XOM

Name	State	Band posture	Next review trigger
GOOG ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	9.7% above band top	Pullback into 330.01 to 349.37 with the post-print structure holding; no chase after the ~10% earnings gap
GS ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	1.0% above band top	In band at 878.71 to 926.76, but only as a tactical add with disciplined size while JPM remains the primary bank setup
JPM ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	1.5% below band low	Owner-approved Tier 1 setup only when price is in or reclaiming the approved 306.82 to 318.12 band, or after explicit band review; current below-band prints fail closed to almost-deployable
MSFT ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	0.6% above band top	Pullback into 389.64 to 412.56 with support holding, or stronger repair that can reclaim the 200-day cleanly
NVDA ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	2.1% above band top	Pullback into 186 to 191 only, not a chase above current levels
VRT WATCH / RESEARCH NEEDED	WATCH / RESEARCH NEEDED	0.5% above band top	Pullback into 295.49 to 326.63 with support holding; still secondary to ETN unless the setup improves further
BRK.B DO NOT TOUCH	DO NOT TOUCH	IN BAND	Only actionable on clear repair through 481 plus improving posture
LMT DO NOT TOUCH	DO NOT TOUCH	7.7% below band low	No trigger until after earnings and a fresh post-event base
XOM DO NOT TOUCH	DO NOT TOUCH	3.8% below band low	Only if price stabilizes above 141.97 and starts reclaiming the 50-day with supportive energy context

Approval boundary: Approved/promoted names may appear on the strict surface, but this PDF still cannot apply adds, sizing, sleeve changes, or trades. Manual owner-gated execution rules remain outside this presentation layer.

What breaks or upgrades the stance

DOWNGRADE / BREAKPOINTS

- Credit spreads widen from benign levels.
- Breadth rolls from broad/recovering into narrow deterioration.
- Rates re-accelerate into a valuation headwind.
- Energy turns into sustained inflation shock.
- Technology remains the only support while concentration blocks adds.

UPGRADE CONDITIONS

- Strict surface shows at least one clean deployable-now name.
- JPM/GS/NVDA band-review debt resolves and any pending promotion candidates receive explicit owner review.
- Underexposed sectors produce quality candidates with clean entries.
- Validation improves without hiding caveats.

Next action	Why it matters	Boundary
Separate pending vs approved names	Prevents a polished PDF from treating approved ETN/JPM state as pending promotion review.	Still no add/sizing/trade authority from the PDF.
Promotion-review packets: CAT, GS, LLY, NVDA	Turns sector board into name-level decisions.	Review only; no automatic promotion.
Prioritize LLY review for Health Care gap	Health Care is underexposed and has a named candidate.	Needs thesis/valuation/technical/catalyst refresh.
Build defensive Staples/Utilities research queue	Useful if macro deteriorates.	No forced exposure without leadership or candidate proof.
Productize visual PDF shell	Creates reusable weekly report format.	Presentation layer only.

Final read: This first format is useful for seeing the state of the system: constructive but constrained, sector balance thin, Technology leadership real but cap-limited, and no authorized capital action.

Source lineage: draft note, tmp/market-state.json, tmp/sector-expansion-board.json, tmp/sector-correlation-check.json, tmp/deployment-readiness-surface.json, tmp/dashboard-validation.json. Generated by scripts/render_composite_regime_sector_pdf.py.